(DRAFT 03-10-21)

PROPOSED POLICY REVISIONS

Information Item

Rationale: The district is required to ensure the timely deposits of public funds, as well as proper internal controls and management when using the services of commercial vendors for third-party receipting services. Third-party receipting requirements apply to online fundraising, as well as online ticketing services.

Use of third-party receipting services must comply with guidance provided by the Washington State Auditor's Office (SAO). The SAO guidance includes specific contract requirements and reconciling procedures.

Additionally, if the district chooses to use a third-party receipting service, the district must adopt a policy that permits third-party receipting. The district's policy is updated to include provisions for third-party receipting.

Relations with Vendors

A. Relations with Vendors

Financial and business transactions of the district will conform to the law and be consistent with sound and ethical business practices. The district will make purchasing decisions based on objectivity and will not be influenced by friendships or other personal relationships. Neither board members, administrators, nor staff will solicit or accept a gift or favor from vendors, prospective vendors, other firms, or individuals who have had or hope to have transactions with the district. Board members, administrators, and staff are prohibited from having financial interests in any district purchase, sale, or other transaction, except as provided under RCW 42.23.040.

B. Third-Party Receipting for Online Fundraising and/or Ticket Sales

When the district contracts with a vendor, firm, individual, or other entity for third-party receipting, the district will include in its contract, appropriate provisions establishing the details of the payment remittance process in accordance with the Washington State Auditor's Guidance for Third Party Receipting. All funds shall be directly deposited into the district's Public Deposit Protection Commission (PDPC) approved bank account.

Legal References:	RCW 42.23.030	RCW 42.52.150
	RCW 42.23.040	2 CFR 200.318(c) (1)

Adopted: May 8, 2018

Revised:

VPS

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